AGENDA ITEM 3

REPORT

Southern California Association of Governments
October 26, 2026

To: RHNA - Regional Housing Needs Assessment Subcommittee

EXECUTIVE DIRECTOR'S APPROVAL

From: Kevin Kane, Planning Supervisor (FSA)
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Subject: Regional Housing Needs Determination for the SCAG Region

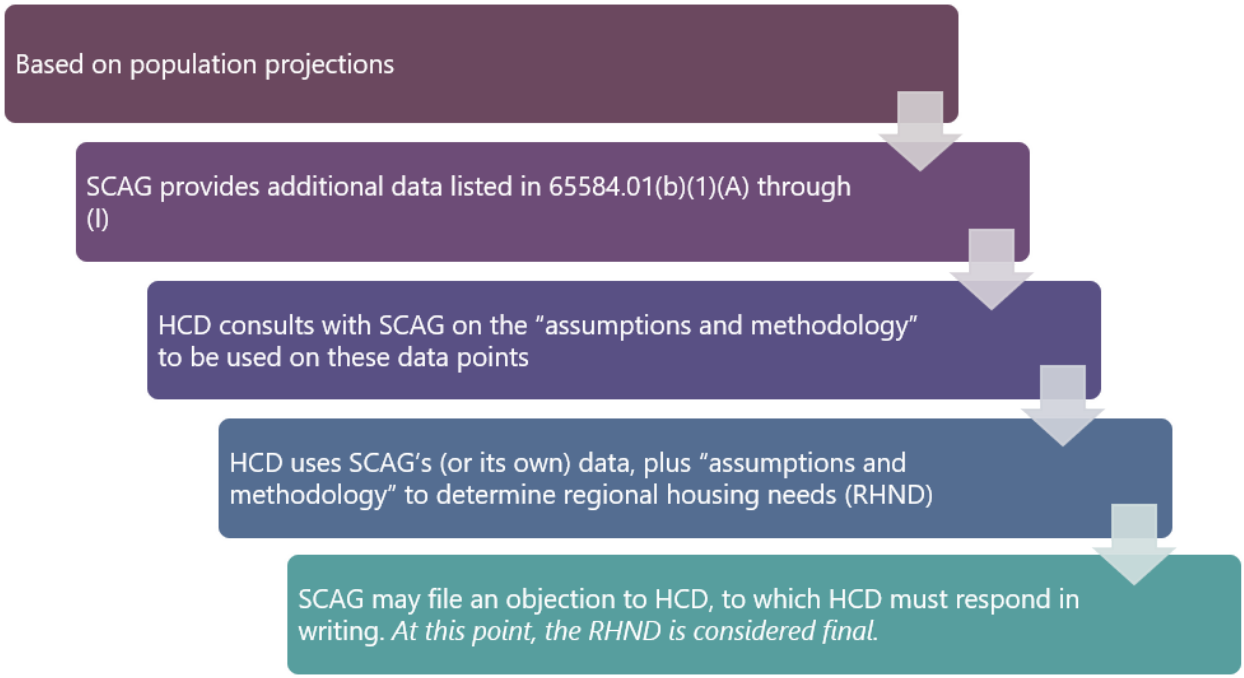
RECOMMENDED ACTION:
Recommend that the CEHD and Regional Council object to the Regional Housing Needs Determination issued for the SCAG region on October 15, 2026, by the California Department of Housing and Community Development on the basis that their use of cost-burden data is not a reasonable application of the methodology and assumptions determined pursuant to Government Code Section 65584.01(b).

STRATEGIC PRIORITIES:
This item supports the following Strategic Priority 3: Spur innovation and action through leadership in research, analysis and information sharing. 2: Be a cohesive and influential voice for the region. 1: Establish and implement a regional vision for a sustainable future.

EXECUTIVE SUMMARY:
On October 15, 2026, the California Department of Housing and Community Development (HCD) issued its determination of the SCAG region's housing need for the 7th cycle Regional Housing Needs Assessment (RHNA) pursuant to Government Code Section 65584.01 et seq. The department's Regional Housing Needs Determination (RHND) for the region is 1,359,750 housing units, spread across six income categories.

The RHND follows several weeks of staff-level consultation. While the RHND reflects a clear, high-quality, data-driven approach, there is one unresolved component related to the consideration of cost-burden that staff considers an "unreasonable application of the methodology and assumptions" per Section 65584.01(b), meriting an objection from SCAG. To accurately assess cost burden requires economic analysis and modeling that are currently unavailable. In the absence of these tools, HCD adds an additional housing unit supply target to the RHND, but one that does not establish a clear connection to reducing this important indicator of pent-up demand. Staff recommends an objection on this point and presents options to the subcommittee for a proposed alternative RHND, which is a required part of the objection.

BACKGROUND:
The process for determining the SCAG region's housing need is described in Government Code Section 65584.01, which states that "the department, in consultation with each council of governments, where applicable, shall determine the existing and projected need for housing in each region in the following manner" and is summarized in the figure below:



SCAG staff met with HCD staff on September 2, September 17, September 28, October 8, and October 12 as part of the ongoing consultation and shared a wide range of data elements and projections related to our planning process, our region's demographics, growth, and housing market, and the use of data to understand our region.

There were several data elements and factors upon with SCAG and HCD staff were able to reach consensus. These included:

1. Data and counts for the new homelessness adjustment.
2. In the new state of emergency adjustment, crediting units permitted (not just units completed) in the Eaton and Palisades fire areas.
3. The use of a slightly shorter 8.3-year projection period for the 7th cycle RHND (July 1, 2029 to October 15, 2037 rather than extending into 2038).

4. Use of single-year 2024 American Community Survey data, rather than 2020-2024 five-year samples. More recent data for factors such as household overcrowding reflects the fact that housing construction has continued despite flat population growth, and accounts for the improvement in existing conditions in recent years.
5. A clear delineation of need due to projected population changes (i.e. growth, and growth by age category) versus existing need.
6. Avoids double-counting households in Census Bureau-derived data measures.
7. Use of correct data vintages and geographic coverages.
8. Detailed discussion and understanding of household formation rates and population projections.

Items 5 through 8 above reflected specific improvements to HCD's approach compared to SCAG's 6th cycle RHND. In addition, SCAG staff requested that HCD consider using a 5 percent standard for healthy renter market vacancy, which would have a modest reduction in the region's RHND.

HCD did use a 7 percent assumption; however, during the consultation they provided additional citations and rationale to support their assumption, which is based on the approach they had developed in their April 2024 report, *California Housing Futures 2040*[1].

While this exceeds the long-run average (2005-2024) US rental vacancy rate of 6.64 percent, the difference is modest and SCAG staff believe it would be very difficult to demonstrate that this constitutes an "unreasonable application of the methodology and assumptions," which is required in order to substantiate an objection.

Population Projections in the RHND

A foundational component of the RHND, which has remained unchanged for several housing element cycles, is described in Government Code Section 65584.01(a) and underscores that the basis of the RHND is a population projection. Specifically, statute requires that SCAG's regional population forecast used in preparing regional transportation plans (RTPs) "shall be the basis" of the RHND so long as the total regional population forecast for the projection year is within a range of 1.5 percent of the total regional population forecast for the projection year by the Department of Finance.

Details of Connect SoCal 2050's preliminary projections were shared with the CEHD committee in March 2026[2] and the Joint Policy Committee in April 2026. SCAG's total regional population projection for the 7th cycle RHNA's horizon year in 2037 is 0.05 percent above DOF's most recent projection series—within the bounds specified in statute.

[1] See https://www.hcd.ca.gov/rhna/ca-housing-future
[2] See https://scag.ca.gov/sites/default/files/2026-02/CEHD030526fullpacket.pdf#page=51

However, during the consultation, SCAG staff instead recommended the use of DOF's population projections because they were more consistent with the statewide approach to RHNDs being taken by HCD.

For regional transportation planning purposes, guided by state and federal statute, SCAG produces a balanced projection of population, household, and employment growth that achieves certain targets.[5] This is a technically reasonable projection produced under the guidance of a Demographic Panel of Experts. Furthermore, its underlying assumptions about population growth, household formation, and employment growth envision a future that fully accommodates the region's housing need in the long-run.

However, HCD's practice under Government Code Section 65584.01, specifically the use of adjustments listed under Section 65584.01(b)(3), differs from this approach. During consultation with HCD, it became apparent that the use of SCAG's population and household projections, which explicitly assume a balance with future employment growth expectations and consider the effects of future housing policy on household formation behavior, would muddy the interpretation of these adjustments and likely count certain policy targets more than once, potentially resulting in "double counting."

The key difference is HCD's approach to adding adjustments which, if the specified number of units were built, could result in a region whose characteristics reached a certain target (e.g. adding units so that rental vacancy hits a healthy level, overcrowding drops to the national level, and homelessness reaches zero). For these individual, "supply-target" adjustments to each be distinct, they must be added to a projection of population alone; ideally one that reflects "business-as-usual" projection assumptions as closely as possible. This contrasts to the construction of an RTP forecast—for example, SCAG's population projection includes a higher share of working-age residents to accommodate future expected job growth and SCAG's household projection assumes a significant increase in future household formation rates.

As a result, SCAG staff recommended and HCD accepted the use of the population projection produced by the Department of Finance in lieu of SCAG's projection.

Cost Burden Adjustment

A household is considered "cost burdened" when it spends more than 30 percent of its income on housing. Under HCD's methodology, differences in housing cost burden between the SCAG region and the nation account for **37 percent of the region's total RHND (504,627 units)**.

[5] For details about the projection associated with Connect SoCal 2024, see Section 1.2 of https://scag.ca.gov/sites/default/files/2024-05/23-2987-tr-demographics-growth-forecast-final-040424.pdf

State law requires HCD to consider housing cost burden when determining a region's housing need. During consultation, SCAG and HCD discussed how that requirement should be measured. Standard Census tables do not provide sufficient information to measure cost burden at the income levels specified in state law, so SCAG analyzed the underlying Census survey data and provided that analysis to HCD.[7]

Housing cost burden is a ratio that compares housing cost relative to household income. This is a significant issue in Southern California. In the SCAG region, the median home value is **8.46 times median household income**, compared with **6.02 times income in the Sacramento region**.
SCAG's analysis also found that an estimated **57 percent of the cost-burden adjustment comes from moderate- and above-moderate-income households**.

The central question is therefore not whether high housing costs are a problem. **The question is how much additional housing should reasonably be added to the RHND to address that problem**, especially when the data point measuring it covers a very broad group of households.

Other adjustments in HCD's determination have a relatively clear numerical target. Even though a lot of behavioral and market factors affect whether these outcomes happen, HCD can estimate how many homes would be needed to:

- Increase supply enough to reach a healthier vacancy rate
- Increase supply enough to provide housing for all people experiencing homelessness
- Increase supply enough to reduce overcrowding to the national level.

The cost-burden adjustment works differently. HCD adds housing units based on the number of households experiencing higher cost burdens, but the methodology does not estimate **how much new housing would be needed to reduce cost burden by a particular amount**.

Economic theory tells us that more housing supply can help moderate housing prices and improve affordability. But the relationship is not one-for-one: **adding one home does not necessarily eliminate cost burden for one household.** Housing costs and household incomes are influenced by many factors. HCD has acknowledged that it would require extensive economic analysis and modeling to understand how supply affects cost burden.[8] In the absence of this modeling, SCAG's

[7] The American Community Survey (ACS) provides raw microdata and preformatted tables based on a 1 percent annual survey of the American population. ACS Table B25140: Housing Costs as a Percentage of Household Income in the Past 12 Months is used by HCD and indicates the share of households in a given area spending more than 30 percent or more than 50 percent of their income on housing cost. Reference to the cost-burden measure appears in Government Code Section 65584.01(b)(1)(H) references the 30 percent threshold, for very low, low, moderate, and above moderate-income households. Unfortunately, preformatted ACS tables are unable to fulfill the statutory requirement to assess cost burden at a region's specific income levels.
[8] See page 78 of https://www.hcd.ca.gov/rhna/ca-housing-future

concern is that the cost-burden adjustment identifies a genuine problem but does not establish a clear connection to its solution.

Lower Income Cost Burden Only

Given uncertainty in the numerical relationship between cost burden and additional supply, SCAG also explored with HCD a narrower approach focusing the adjustment on **very-low- and low-income households**, where RHNA provides additional tools that can help support affordable housing development. For example, when local jurisdictions identify sites for their lower-income RHNA, state housing law includes additional requirements intended to make affordable housing more feasible such as appropriate densities, streamlined approvals, and supportive programs. This creates a more direct connection between the housing need identified through RHNA and the affordability problem the adjustment is intended to address.

Using raw Census microdata, SCAG calculated cost burden specifically for very-low- and low-income households. To avoid double counting, households already included in the overcrowding adjustment were removed.[11] SCAG then compared the remaining level of cost burden in the region with the national level. This approach produced a **cost-burden adjustment of 226,803 additional housing units: 80,942 for very-low-income households and 145,861 for low-income households.**

While HCD reviewed SCAG's approach and was able to replicate the calculation, they ultimately did not adopt it. Instead, HCD applied the cost-burden adjustment to all households in the region, including moderate- and above-moderate-income households. HCD calculated the difference between the SCAG region's cost-burden rate (43.19 percent) and the national rate (31.45 percent) and applied that **11.74 percentage-point difference** to the region's roughly 6.5 million households. That amount was then added to the RHND (504,627 units).

Staff Recommendation and Proposed Alternative Determination

Staff recommend the RHNA Subcommittee recommend to the CEHD and Regional Council to object to the RHND on the basis that the cost burden adjustment is not a reasonable application of the methodology and assumptions determined in statute. SCAG may file an objection within 30 days of the notice of the determination (i.e. November 14, 2026). The objection would be based on and substantiate the following:

"The regional housing need determined by the department is not a reasonable application of the methodology and assumptions determined pursuant to subdivision (b). The objection shall include a proposed alternative determination of its regional housing need based upon the determinations made in subdivision (b), including analysis of why the proposed alternative would be a more reasonable

[11] This follows HCD's existing approach in RHND line item 12.

application of the methodology and assumptions determined pursuant to subdivision (b).” Government Code Section 65584.01(c)(2)(B)

Through the above discussion on cost burden, staff propose that, should the subcommittee, CEHD, and RC wish to file an objection to the RHND, they decide on one of two alternative determinations based on the cost-burden adjustment discussed above.

The first approach would be that a lower-income-only cost-burden adjustment is a more reasonable application of the methodology and assumptions in statute. This approach leverages the lower-income RHNA requirements to create a more direct connection between the housing need identified and the affordability problem the adjustment is intended to address.

The second is to remove the cost burden adjustment entirely because accurately assessing the additional housing supply needed to reduce cost burden requires economic analysis and modeling that is currently unavailable. In the absence of this modeling, HCD adds another supply target to the RHND, but in this case, one that does not establish a clear connection to its solution, particularly in the SCAG region.

FISCAL IMPACT:
None.

ATTACHMENT(S):
1. PowerPoint Presentation - 7th Cycle RHND
2. SCAG 7th Cycle Final Determination Letter
3. SCAG 7th Cycle RHND Workbook - Table of Contents
4. SCAG 7th Cycle RHND Workbook - TABLE 2
5. GOV_65584.01